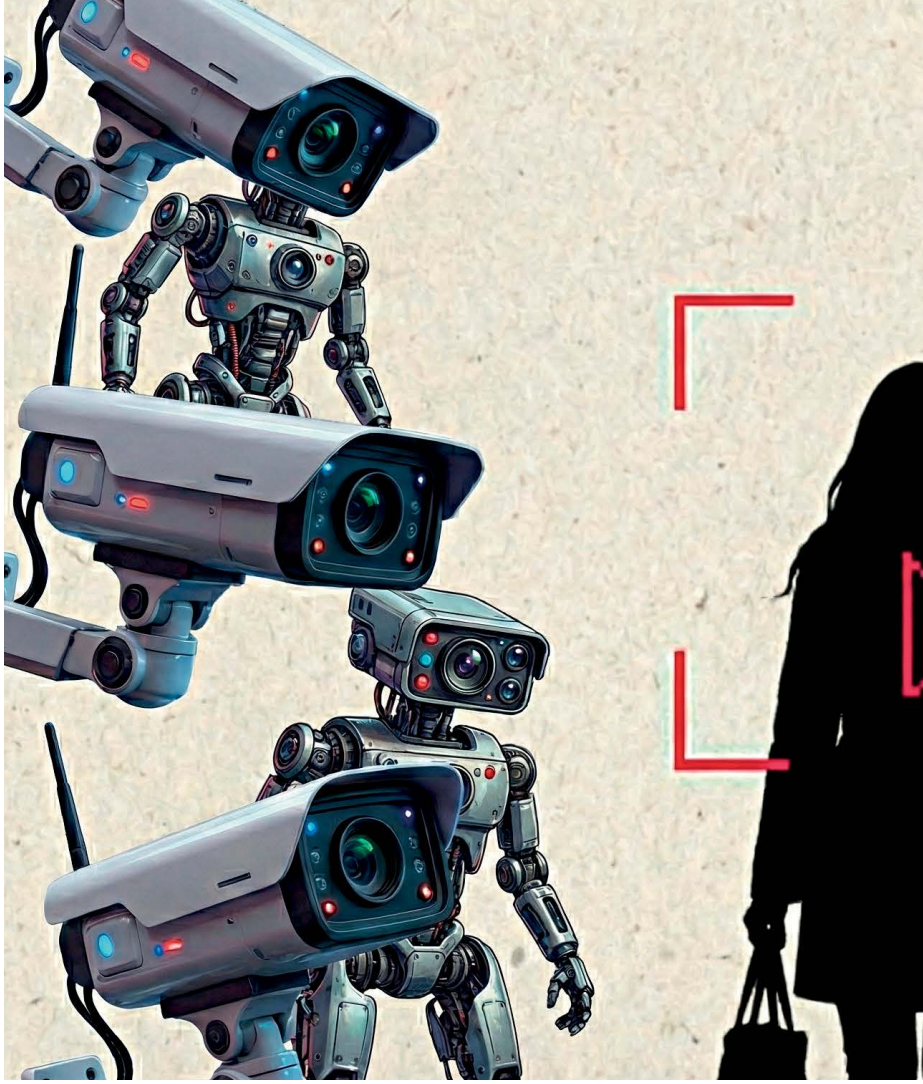


Yes, AI has disrupted entire sectors, disintermediating professionals who felt safe, irreplaceable: accountants, lawyers, artists, writers, content creators. It's changing our lives and work, bringing deep expertise within the reach of anyone with access to a digital device. But there's a dark side and a price to pay: a shift from simple data collection to an economic model where AI is used to extract and predict human behaviour, and commodify it. That is surveillance capitalism, a term coined by Shoshana Zuboff in the title of her epic book that describes how the tech giants have transformed the capitalist system by monitoring our online activities, farming our personal data for profit.

Within that almost-dystopian picture, the term surveillance dividend sounds benign, benevolent and legitimate. Data collected for security or behaviour tracking can be repurposed for socio-economic, environmental or other public benefits. Uber data could be used for public transit improvements, Google Maps data for accident reduction.

This dividend could improve economic productivity or environmental performance—given ethical oversight to prevent exploitation and preserve civil liberties. What's far more likely is the large-scale repurposing of such data for private interests. Surveillance pricing is a thing once that dividend moves into the normal economy. Ride-hailing apps can charge you more if you use an iPhone, or have very low battery, and desperately need a ride. After several such complaints on social media, India's consumer protection authority sent notices last year to Uber and Ola (who denied using "differential pricing").

A 'surveillance pricing' bill introduced in California in 2025 said that businesses are no longer just tracking data for ads but are using AI to treat each consumer as their own micro-economy. By using browsing history and location to assess willingness to pay, companies are creating a market where the price of a product changes based on your digital profile. "Businesses increasingly use personal data to set prices," the bill's author wrote.

Closer home, the Competition Commission of India's (CCI) 2025 market study on algorithmic collusion explored how AI-driven pricing systems of competing platforms track each other, effectively 'colluding' without human involvement or intent, or explicit agreement. They may even show competing prices to users, for price transparency. Algorithms dynamically match rivals' prices, up or down colluding in pricing without being explicitly designed to do so. The CCI does have plans to address this (beyond building up its own technical expertise and capacity) via algorithmic self-audits, with internal compliance reviews, and transparency measures such as explanations of how algorithms influence pricing and recommendations.

TAKEAWAYS

- **India's data protection law, which relies heavily on user consent, is ill-equipped to tackle AI opacity**
- **AI is enabling private interests to extract personal data to predict user behaviour, and then commodify it**
- **India must legislate transparency with a risk-based AI framework; ensure oversight over state exemptions**

Illustration by **NILANJAN DAS / AI**